Life assurance

Endowment

These are effectively investment schemes with life cover attached. They used to be popular with interest-only mortgage holders who used them to build up savings to repay their mortgage capital.

With profit

A with-profit whole-of-life policy includes an investment element, so that the payout on death is the sum assured, plus any investment profits allocated to the policy.

Over-50s

Designed for over-50s who have not already taken out any kind of life insurance or assurance, this guarantees a modest payout on death to cover funeral costs.

Both

Whole of life

This policy provides cover for the holder's entire lifetime with no set term, guaranteeing a lump sum at whatever age they die as long as premiums have been paid continuously from the start.

Life assurance

A life assurance policy promises the holder a payout – either when they die, or when the term of the policy comes to an end. It can also be used to pay any future inheritance tax. The fact that a payout is guaranteed inevitably means that monthly or annual premiums are higher for life assurance than for life insurance. It is an investment for the long term.

Maximum cover

This policy offers a high initial level of cover for a low premium, until a review. Premiums will then probably increase greatly to provide the same level of cover.

Universal

This gives flexible cover with a savings element which is invested to provide a cash value. Policyholders can use interest from their accumulated savings to help to pay the premiums over time.

Balanced cover

This has a premium set high enough by the provider so as to stay the same throughout the length of the policy. Some of the premium is invested to give additional cover over time.